

TRANSFORMING BIHAR

THE UNTOLD TEXTILE REVOLUTION

Once primarily known as the land of ancient wisdom and spiritual heritage, Bihar is undergoing a significant industrial revival. In a transformative journey marked by visionary leadership and robust policy innovation, the state has rapidly emerged as a thriving textile and leather manufacturing hub which have been categorised as a "High Priority Sector".

From Exodus to Homecoming: The Emotional Core of Reverse Migration

When thousands of skilled workers returned to Bihar during the COVID-19 pandemic, West Champaran's administration seized the moment. In Chanpatia, a start-up zone was rapidly established in government-provided premises, enabling returnee migrants—many previously employed in textile hubs like Surat and Delhi—to launch their own ventures with robust state and district support. Mrityunjay Sharma, once employed by a clothing firm in Delhi, founded his own clothing brand "Lisso" after accessing a ₹25 lakh loan under the Prime Minister Employment Generation Programme (PMEGP). Within months, his business achieved transactions in the crores and began receiving orders from across India and abroad—including markets in Spain, Nepal, and Bangladesh.

Entrepreneurs like Archana Kushwaha, who returned from a Surat textile mill, teamed up with local authorities and her husband to set up new production units. Today, over 58 textile units are thriving in Chanpatia, producing everything from school uniforms and T-shirts to Kashmiri shawls and soft toys. This start-up zone has created thousands of jobs and become a model for similar zones in Muzaffarpur, Dhaka (East Champaran), and Fatuha (Patna). Similarly, the Muzaffarpur Bag Cluster stands as India's largest bag manufacturing hub, with a majority of units owned and run by women entrepreneurs, many of whom returned to Bihar during the pandemic. To boost cluster capacity and empower rural women entrepreneurs, the department partnered with JEEViKA, selecting 39 didis for financial aid—₹10 lakh each under "Mukhyamantri Mahila Udyami Yojana 2022," plus ₹5 lakh grant from JEEViKA and free transport for three months. Leveraging the state's textile and leather policy incentives, plug-and-play infrastructure, and targeted skill training, these women set up units capable of producing 700,000 bags per month, supplying regional and national markets.

Surging Investment Intent and Export Growth

Following a series of targeted investment roadshows and two flagship "Global Bihar Business Connect (BBC)" events—in December 2023 and December 2024—Bihar has witnessed an unprecedented surge in industrial interest and export momentum. The 2023 summit saw nearly 300 companies sign MoUs worth over ₹50,530 crore, making significant investment commitments. As of now more than 50% of the MoU's has been grounded. Building on this momentum, the 2024 edition registered a record-breaking ₹1.81 lakh crore in fresh investment intent with 423 MoUs spanning sunrise sectors from textiles and food processing to renewable energy and logistics. Major conglomerates such as Sun Petrochemicals, Adani, Reliance SLMG Beverages, BPCL, and NHPC announced large-scale projects, reinforcing Bihar's growing industrial appeal. As of now, out of the 423 MoUs signed during the summit, 317 projects with a cumulative proposed investment of ₹82,584 crore have already been grounded.

In total, the state has now attracted investment intent pegged at ₹2.31 lakh crore over these two consecutive summits—a feat made possible by proactive government engagement, policy reforms, and a "CEO-style" approach to industrial facilitation. State officials have emphasized that the majority of MoUs signed in 2023 have already been implemented or are being grounded with exceptional speed, setting national benchmarks for project execution and business ease.

This investment wave is directly translating to jobs, new manufacturing bases, and rapid export growth, particularly in apparel and leather, where Bihar outpaced national trends with a 58.6% export increase in 2023-24, even as other states saw declines. Investors and trade bodies have hailed Bihar as India's most promising new investment destination, crediting business-friendly governance and a uniquely positive, action-oriented climate for the state's remarkable rise

The Game-Changer—Policy, Incentives

Bihar's textile resurgence isn't just built on ambition; it's powered by a game-changing policy framework